



these questions about demand, you will need to modify your ideas, if not rethink your business entirely.

Assessing demand

There are many ways of assessing the demand for your business, ranging from doing research into your competitors to speaking to people in your chosen industry (see below). All of this should be done at the business planning stage, giving you plenty of time to refine your ideas if necessary. Only then should you think of committing resources to your business.

However, it is worth keeping notes on all of your ideas and continue monitoring the market even after you have estimated the demand for your business. This is because markets can change quickly, and you will need to respond swiftly to fluctuations in demand, or to changes to the ways in which you are expected to deliver your product or service. The more ideas you have, the better placed you will be for facing the future—but remember not to be blinded by your enthusiasm and to listen to what your research tells you.

42%
of businesses
fail due to poor
demand for
their services
or products

Georgia McIntyre,
www.fundera.com, 2020



Know the level of demand

You should now know what kind of demand there is for your product or service. To establish whether it is sufficient to support your business, think of the following questions:

- › **Will you have enough customers?** Will you be able to develop a stable customer base?
- › **Will you have too many competitors?** What can you do to keep your customers loyal?
- › **How much are customers willing to pay?** How much can you charge to make a profit?
- › **What does your competitors' performance mean for you?** What can you learn from them?

Refine your idea

Use the feedback from testing your product or service to refine it, or even to rethink your idea if it was poorly received. Do not commit resources to your business until you are sure it is viable.



Approach people

Speak to people in the industry, visit trade shows, and join internet forums. Create simple online questionnaires and surveys using tools, such as Google Forms or SurveyMonkey, or try a Twitter poll. Seek the opinions of friends and family.

Refine your idea

Use the information you have learned from other people to refine your idea if necessary. Does your product or service meet the demands of the people you have spoken to?



Test your idea

If possible, test your product or service on potential customers or clients for free. For example, if you are offering coaching services, offer short sessions to gauge their response.